High buid-up of current account surpluses and forex reserves have been **a matter of global debate** among the financial experts, central banks and the policy-makers. The pros and cons of it may be seen in the following way, especially, in the light of the ongoing global financial crises:

(i) While holding forex reserves has been acknowledged to be useful in dealing with the crisis, it has also been argued that excessive reserves involve (quasi-fiscal) costs apart from yielding low returns as countries invest abroad rather than in high-return domestic investments.

(ii) Furthermore, large fluctuations in the exchange rate could result in significant losses in its value (for example, if the US dollar weakens, it could result in a loss in value of forex reserves denominated/maintained in the currency).

(iii) Apart from the holding costs to the economy, high build-up of current account surpluses and reserves has been seen as a major indicator of global imbalances and potential source of instability in the international monetary system.

(iv) In the global context, it has been argued that reserve accumulation was an outcome of resisting currency appreciation and an attempt to stimulate export-oriented production at the expense of domestic demand.

(v) The reserve accumulation by key emerging current account surplus economies, mostly held as dollar assets, supported a strong US dollar in spite of a growing current account deficit in the US. By thwarting exchange rate adjustment, this practice has been contributing to global economic imbalances.

(vi) On the other hand, it has also been argued that the build-up of reserves is a consequence of loose monetary policies followed by reserve currency-issuing countries.

There may be divergent opinions on the positives and negatives in this case, the fact remains that the issue of exchange rate management, build-up of current account surpluses and of reserves cannot be viewed in isolation and these issues are embedded in a wider ongoing debate on the deficiencies of the *international monetary* and *financial system.*This is why there has been